

ACCA

Audit and assurance (AA)

Pocket Notes



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This document references IFRS® Standards and IAS® Standards, which are authored by the International Accounting Standards Board (the Board), and published in the 2024 IFRS Standards Red Book.

Exam format

		Number of marks
Section A:	3 x 10 mark objective test case study questions	30
Section B:	1 x 30 mark question	30
	2 x 20 mark questions	40
		100

Time allowed: 3 hours

Aim of the paper

To develop knowledge and understanding of the process of carrying out the assurance engagement and its application in the context of the professional regulatory framework.

Keys to success

Answer the question

Read the question extremely carefully, paying attention to the verbs telling you what to do, and to the mark allocation. You must make (at least) one point in your answer for every mark available.

Don't overrun your time allocation

You must be absolutely strict with yourself with your time allocation for each question. In the exam room, write down the times for each question, and force yourself to finish your attempt within the time available. Such discipline may not be fun, but it is the approach that will earn you most marks in the exam.

Think before you start writing

Take time to understand what the question is **really** asking. Certain words read in isolation may lead you to misinterpret the requirement.

You also need to make sure that you identify the whole requirement. Some questions are actually more than one requirement. For example:

"Identify and explain the control deficiencies in the question **and** recommend solutions to overcome them."

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chapter

1

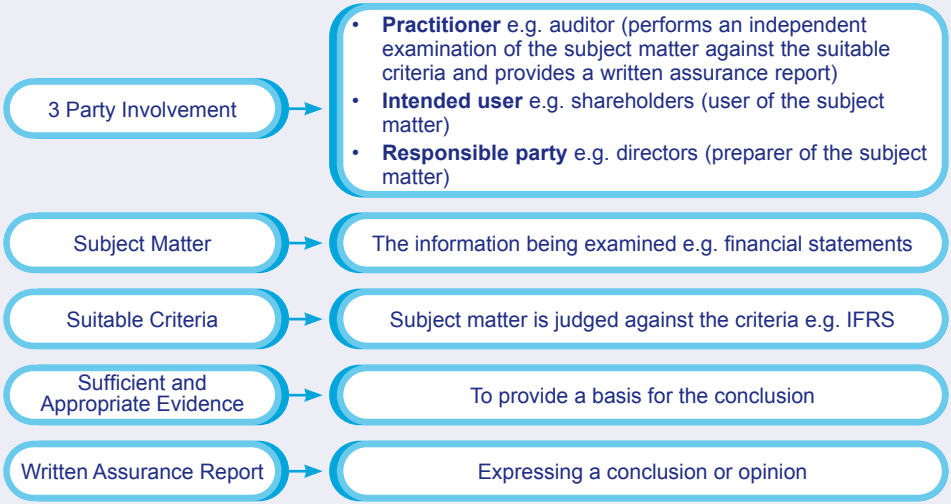
Introduction to assurance

In this chapter

- Elements of an assurance engagement.
- Reasonable and limited assurance.
- Accountability, stewardship and agency.
- Benefits and limitations of audit.

Elements of an assurance engagement

Purpose of assurance is to increase the confidence of the user in the subject matter being relied upon.



Reasonable and limited assurance

The Framework permits only two types of assurance engagement to be performed:

Reasonable assurance engagements

The practitioner:

- Gathers sufficient appropriate evidence
- Does enough work to be able to draw reasonable, but not absolute, conclusions
- Concludes that the subject matter conforms in all material respects with identified suitable criteria
- Gives a report in the form of **a positive statement of opinion**

EXAMPLE

- Statutory audit.

Limited assurance engagement

The practitioner:

- Gathers sufficient appropriate evidence to be satisfied that the subject matter is plausible in the circumstances
- Gives a report in the form of **a negative statement of conclusion** ("nothing has come to our attention")

EXAMPLES

- Review of financial statements (International Standard on Review Engagements 2400).
- Reports on social and environmental issues.
- Examination of a forecast
- Review of internal controls

Accountability, stewardship and agency

Accountability

People in positions of power can be held to account for their actions

Directors are accountable to the shareholders for the decisions they make in relation to the company

Stewardship

The responsibility to take good care of resources. Known as a 'fiduciary relationship'

Directors are the stewards of the company

Directors are required to produce financial statements giving an account of their stewardship

Agency

When one party, the principal, employs another party, the agent, to perform a task of their behalf

Directors are the agents of the shareholders

External auditors are the agents of the shareholders

Company management are required to produce financial statements giving an account of their stewardship of the company at regular intervals, but there is a need for some kind of independent validation of the financial statements – the independent audit.

Benefits and limitations of audit

Benefits of audit

- **H**elps improve quality of information.
- **I**ndependent scrutiny.
- **R**educes risk of management bias, fraud and error.
- **E**nhances credibility of FS.
- **D**eficiencies in internal controls highlighted.

Limitations of audit

- **F**S include subjective estimates and judgements.
- **I**nherent limitations of internal controls.
- **R**epresentations from management not reliable.
- **E**vidence is persuasive not conclusive.
- **D**o not test all transactions, only a sample.

Expectations Gap

- Auditor tests everything.
- Auditor detects all fraud and error.
- Auditor confirms the company is a going concern.
- Auditor prepares the FS.



Exam focus

To practise the basics use the following test your understandings (TYUs) from the Study Text:

- Chapter 1, TYU 1
- Chapter 1, TYU 2
- Chapter 1, TYU 3

chapter

2

Rules and regulation

In this chapter

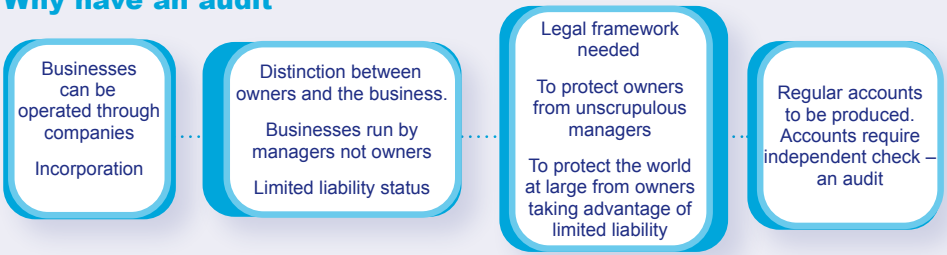
- International and UK standard setting and regulation.
- Why have an audit.
- Who may or may not act as an auditor.
- How are auditors appointed and removed.
- Auditor's rights and duties.

International and UK standard setting and regulation



- ISAs are adopted, and modified if necessary, by individual countries or they can set their own standards.
- Any modifications reflect the legislation relating to companies in the country that the client is based, which may be different from that in other jurisdictions.
- Local law overrides ISAs.

Why have an audit



- Therefore in most countries companies require an audit.
- In many countries there is an exemption for small businesses.

Who may or may not act as an auditor

MAY ACT ✓

INDIVIDUALS

- A member of a Recognised Supervisory Body (RSB) e.g. ACCA
  and
- Allowed by the rules of that body to be an auditor
  or
- Someone directly authorised by the state.

FIRMS

- Controlled by members of a suitably authorised supervisory body
  Or
- A firm directly authorised by the state.

MAY NOT ACT ✗

EXCLUDED BY LAW

In UK

- An officer (Director or secretary) of the company
- an employee of the company
- a business partner or employee of the above.

EXCLUDED BY ETHICS

- Due to lack of objectivity or independence, for example, due to:
  - close business relationships
  - personal relationships
  - long association with the client
  - fee dependency
  - non-audit services provided.

How are auditors appointed and removed

APPOINTMENT

In most jurisdictions

- The members (shareholders) of the company.
- Directors can appoint first auditor and fill a 'casual vacancy', but needs members' approval at next AGM.
- Appointment runs from end of AGM until the end of the next AGM.
- Where no AGM – automatic annual reappointment unless a shareholder objects.

REMOVAL

- Simple majority at a general meeting of the company.
- The law requires special notice to be given.
- Resignation (auditors may have to submit to members a statement of the circumstances surrounding their resignation).

Auditor's rights and duties

Rights

- Access at all times to all books and records
- Receive information and explanations from the officers of the company
- Receive notice of and attend company meetings
- Speak at such meetings
- Receive copies of any written resolutions of the company
- Requisition an Extraordinary General Meeting (EGM) on resignation
- Require notice of circumstances relating to resignation to be circulated.

Duties

- Report to the members on whether the financial statements give a true and fair view and have been properly prepared.



Exam focus

To practise the basics use the following test your understandings (TYUs) from the Study Text:

- TYU 1
- TYU 2
- TYU 3

chapter

3

Corporate governance

In this chapter

- Corporate governance.
- Audit committees.

Corporate governance

Corporate governance is about ensuring that companies are run well in the interests of their shareholders and the wider community. Need arose due to high profile collapses of companies.

Good corporate governance is particularly important for publicly traded companies.

Maintaining satisfactory standards of corporate governance is the responsibility of those operating a company.

The board

The board typically consists of executive directors (EDs) and non-executive directors (NEDs).

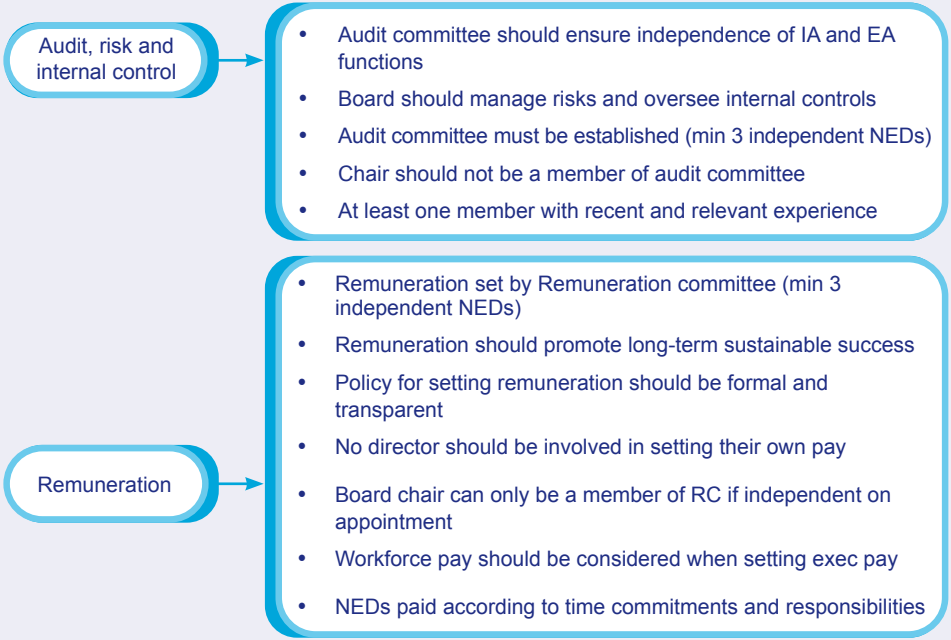
EDs are involved in the day-to-day operations and provide operational oversight of the business. NEDs are not a part of the company's daily operations and provide independent oversight and guidance.

The key responsibilities of the board as a whole include:

- Setting the company's strategic direction
- Overseeing risk management
- Monitoring senior management and ensuring effective internal controls
- Managing executive directors' remuneration
- Ensuring ethical conduct
- Monitoring the effectiveness of the company's governance practices
- Ensuring the integrity of the company's corporate and financial reporting.

Corporate governance in action




Audit, risk and internal control
Audit committee should ensure independence of IA and EA functions
Board should manage risks and oversee internal controls
Audit committee must be established (min 3 independent NEDs)
Chair should not be a member of audit committee
At least one member with recent and relevant experience
Remuneration
Remuneration set by Remuneration committee (min 3 independent NEDs)
Remuneration should promote long-term sustainable success
Policy for setting remuneration should be formal and transparent
No director should be involved in setting their own pay
Board chair can only be a member of RC if independent on appointment
Workforce pay should be considered when setting exec pay
NEDs paid according to time commitments and responsibilities

Audit committees

Composition

- 3 independent non-executives.
- At least 1 with financial expertise.

Objectives

- Public confidence in the credibility and objectivity of published financial information.
- Assisting directors in meeting their responsibilities in respect of financial reporting.
- Liaison with external auditors.

Function

- Monitoring integrity of the financial statements.
- Reviewing internal financial controls.
- Monitoring and reviewing internal audit function.
- Making recommendations re appointment, removal and remuneration of the external auditor.
- Reviewing and monitoring the external auditor's independence and objectivity and the effectiveness of the audit process.
- Developing and implementing policy on the engagement of the external auditor to supply non-audit services.
- Reviewing arrangements for confidential reporting by employees and investigation of possible improprieties – whistle blowing.

The audit committee and internal audit

The audit committee should:

- Ensure internal auditor has direct access to the board chair and to the audit committee.
- Review and assess the annual internal audit work plan.
- Receive reports on the results of internal audit work.
- If no IA function in place, review need for one annually.

Risk management

All companies face risks of many kinds.

Companies must address the risk issues and:

- Identify the risks faced (e.g. operational, financial, legal)
- May maintain a risk register
- Assess the relative importance of each risk
- Sometimes accept the risk as an inevitable part of its operations.



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Sistar
- Cameron

Section B – Constructed response questions:

- Petra
- Daley
- Freesia

chapter

4

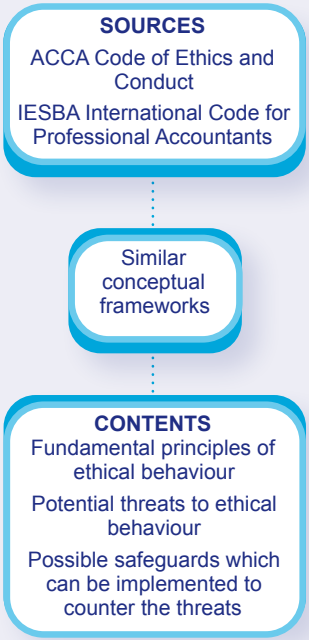
Ethics and acceptance

In this chapter

- ACCA code of ethics and conduct.
- Independence and objectivity.
- Fundamental principles, threats and safeguards.
- Confidentiality.
- Acceptance of engagements.
- New work and the engagement letter.

ACCA code of ethics and conduct

- The **user** needs to believe that assurance practitioners act in accordance with a code of ethics, and
- The **practitioner** needs a code of ethics to make sure that he or she is worthy of that level of trust.



- The Codes of Ethics provide guidance that the auditor must follow.
- In some cases the only viable safeguard is not to accept an assurance engagement, or to resign from it.
- The ACCA reserves the right to discipline members who infringe the rules through a process of disciplinary hearings.
- If a professional accountant identifies a breach of the code of ethics, they should act promptly to address the consequences of the breach and consider whether the breach should be reported to ACCA or another professional body or regulatory authority.

Independence and objectivity

- Independence is freedom from any external control or influence in making decisions.
- Objectivity is the state of mind which has regard to all considerations relevant to the task in hand but no other.

Fundamental principles, threats and safeguards



The auditor must identify the threats, assess the significance of the threats and apply safeguards to reduce or eliminate the threats.

Fundamental principles

The code identifies five fundamental principles in professional conduct.

- **Integrity:** Members should be straightforward and honest in all professional and business relationships.
- **Objectivity:** Members must exercise professional or business judgement without being compromised by bias, conflicts of interest or undue influence of, or undue reliance on, individuals, organisations, technology and other factors.
- **Professional competence and due care:** A professional accountant must attain and maintain professional knowledge and skill at the level required to ensure that a client or employer receives a competent and professional service.
- **Confidentiality:** Members should respect the confidentiality of information acquired as a result of professional and business relationships and should not disclose any such information to third parties without proper and specific authority or unless there is a legal or professional right or duty to disclose.
- **Professional behaviour:** Members must comply with relevant laws and regulations, behave in a manner consistent with the profession's responsibility to act in the public interest in all professional activities and business relationships, and avoid any conduct that might discredit the profession.

Example Threat	Possible safeguard
Auditor owns shares in the client (Self-interest)	Sell the shares as soon as possible.
Auditor is unduly dependent on client for fees (Self-interest)	Fees from a listed client should not exceed 15% of the firm's fee income for 2 consecutive years. Fees from a non-listed client should not exceed 30% of the firm's fee income for 5 consecutive years.
Significant outstanding fees due from the client (Self-interest)	Arrange full or partial payment. Do not issue auditor's report until fees have been paid.
Client requests contingent fee (Self-interest)	Refuse. Contingent fees are not acceptable for assurance engagements.
Gifts or hospitality from the client (Self-interest and familiarity)	Do not accept unless clearly trivial. Audit partner must authorise acceptance.
Audit partner has been in post for many years (Familiarity)	Partner rotation after 7 years for listed clients. May be extended for 1 year if audit committee approves.
Ex-auditor now works for audit client (Familiarity)	Review composition of audit team and perform EQR.
Close relationships between auditor and client staff (Familiarity)	Remove that person from the audit team.
Auditor provides other services (Self-review)	Separate teams for each service provided. Don't provide other services to audit clients where significant reliance will be placed on the non-audit work.
Auditor is ex employee of the client (Self-review)	Don't assign that person to the audit team.
Client asks auditor to represent them in court (Advocacy)	Legal services should only be provided by legally trained people. Decline if the amounts are material to the financial statements.

Confidentiality

Before disclosing, consider:

- Whether harm could be caused by the disclosure
- Whether all relevant information is known and substantiated
- Whether the information is to be communicated to appropriate recipients

Required by law

- Production of documents or other provision of evidence in the course of legal proceedings
- To the appropriate public authorities of infringements of the law identified
- E.g. tax evasion, money laundering

Disclosure permitted by law and authorised by the client or employer

Professional duty or right to disclose, when not prohibited by law

- To comply with the quality review of ACCA or another professional body
- To respond to an inquiry or investigation by ACCA or a regulatory body
- To protect the professional interests of a professional accountant in legal proceedings
- To comply with technical standards and ethics requirements

Conflicts of Interest:

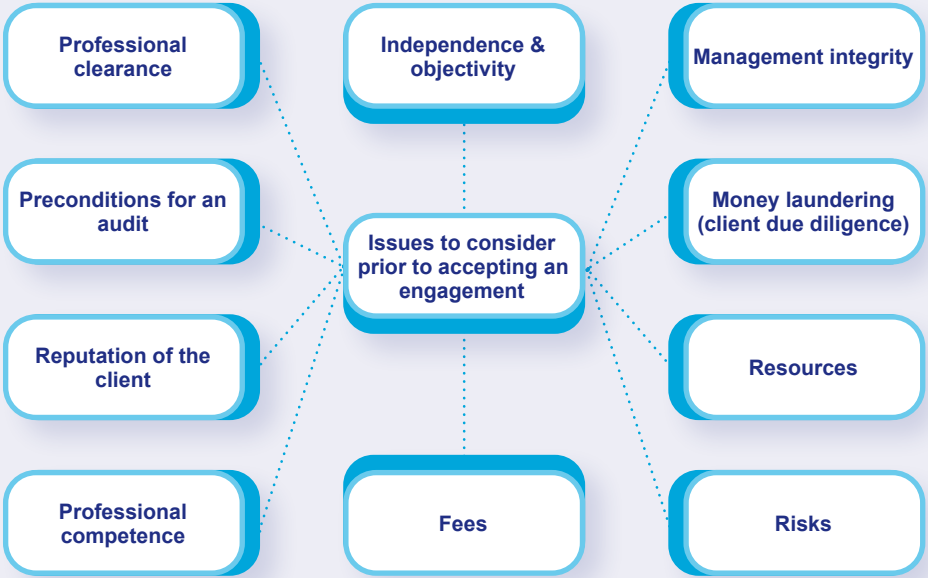
Where conflicts of interest exist, the firm's work should be arranged to avoid the interests of one being adversely affected by those of another and to prevent a breach of confidentiality.

The firm must notify all affected clients of the conflict and obtain their consent to act. The following additional safeguards should be considered:

- Advise the clients to seek independent advice
- Separate engagement teams (with different engagement partners and team members)
- Procedures to prevent access to information, e.g. physical separation of the team members and confidential/ secure data filing
- Signed confidentiality agreements
- Regular review of the application of safeguards by an independent person of appropriate seniority.

If adequate safeguards cannot be implemented, the firm must decline, or resign from one or more conflicting engagements.

Acceptance of engagements



New work and the engagement letter

The engagement letter includes

- Responsibilities
- Objective and scope of audit
- Reference to legislation and standards
- Reference to inherent limitations of the audit
- What communications will take place
- Specific planning issues, e.g.:
  - use of internal audit
  - deadlines
  - use of experts etc.
- Basis for fees

- A new letter may be sent every year to emphasise its importance to clients.
- A new letter must be sent if there have been changes, such as changes to:
  - Statutory duties
  - Professional duties
  - Other services.

Preconditions for an audit

- Acceptable financial reporting framework in place.
- Management understands its responsibility for the financial statements.
- Management understands its responsibility for internal controls.
- Management will provide the auditor with access to all information required for the audit.



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Bark & Co
- Miranda & Co
- Tigger & Co
- Fir & Co
- Horti & Co
- LV Fones Co
- NAB & Co

Section B – Constructed response questions:

- Magpie
- Esk
- Peach
- Corley Appliances
- Hart
- Scarlet
- Prancer
- Hurling
- Centipede
- Venus
- Comet Publishing
- Orange Financials

chapter

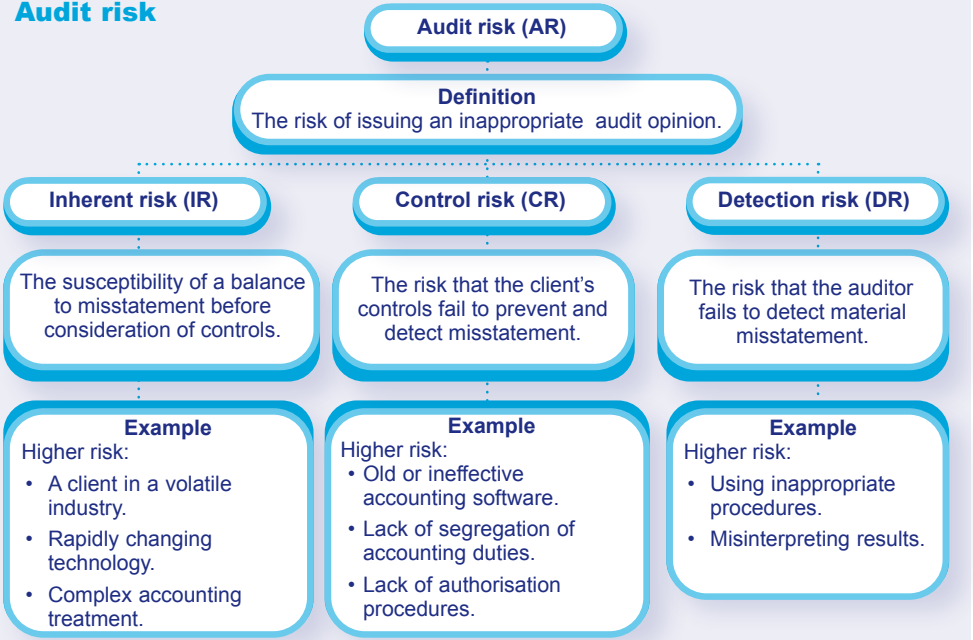
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Risk

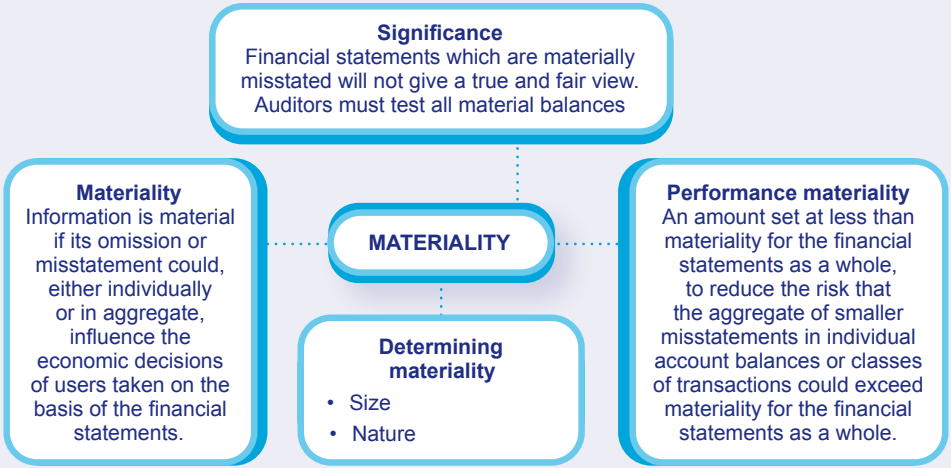
In this chapter

- Audit risk.
- Materiality.
- Significance of the risk approach.
- Understanding the entity and its environment.
- Risk assessment procedures.
- Analytical procedures.

Audit risk


Audit risk (AR)
Definition
The risk of issuing an inappropriate audit opinion.
Inherent risk (IR)
Control risk (CR)
Detection risk (DR)
The susceptibility of a balance to misstatement before consideration of controls.
The risk that the client's controls fail to prevent and detect misstatement.
The risk that the auditor fails to detect material misstatement.
Example
Higher risk:
• A client in a volatile industry.
• Rapidly changing technology.
• Complex accounting treatment.
Example
Higher risk:
• Old or ineffective accounting software.
• Lack of segregation of accounting duties.
• Lack of authorisation procedures.
Example
Higher risk:
• Using inappropriate procedures.
• Misinterpreting results.

Materiality



- Assessing materiality is a matter of professional judgement and is not a mechanical exercise.
- Each company must be considered with reference to its unique circumstances and the informational needs of the users of the financial statements.
- In the exam, balances will be material if they exceed:
  - ½% revenue
  - 5% profit before income taxes
  - 1% total assets.
- Materiality should be reassessed during the audit in response to further information or risk arising.

Misstatement: A difference between a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud.

Definition

Sampling risk arises from the possibility that the auditor's conclusion, based on a sample may be different from the conclusion reached if the entire population were subjected to the same audit procedure.

ISA 530 *Audit Sampling*

Non-sampling risk is the risk the auditor reaches an inappropriate opinion despite a representative sample being chosen.

Significance of the risk approach

- Inherent risk and control risk cannot be directly influenced by the auditor.
- The auditor can, however, manipulate detection risk. If they assess that inherent and control risk are high (i.e. increased risk of material misstatement) they can lower detection risk through the following means:
  - Increasing substantive testing
  - Increasing sample sizes
  - Using more experienced staff
  - Increasing levels of supervision
  - Increasing review procedures.
- By performing a more thorough audit there is less risk that the auditor fails to detect material misstatement.

Understanding the entity, its environment, the applicable financial reporting framework and its system of internal control

The auditor is required to obtain an understanding of:

- Aspects of the entity and its environment:
  - The entity's organisational structure, ownership and governance, and its business model including the extent to which the business model integrates the use of IT.
  - Industry, regulatory and other external factors.
  - The measures used, internally and externally, to assess the entity's financial performance.
- The applicable financial reporting framework, and whether the entity's accounting policies are appropriate and consistent with the applicable financial reporting framework.
- The components of the entity's system of internal control and control deficiencies.

ISA 315 (Revised 2019)) *Identifying and Assessing the Risks of Material Misstatement*

The auditor will use this understanding to assess the risks and design further audit procedures in response to these risks.

The information used to obtain this understanding can come from:

- The audit firm
- The audit client
- External sources e.g. internet, industry data
- The individual auditor's own experience.

Risk assessment procedures

ISA 315 requires auditors to perform the following procedures to understand the entity and its environment.

- Enquiries with management and others within the entity.
- Analytical procedures.
- Observation (e.g. of control procedures) and inspection (e.g. of key strategic documents and procedural manuals).

Analytical procedures

The basics

- Compulsory for planning and risk assessment (ISA 315).
- Can be an efficient and effective source of substantive evidence.
- Compulsory in the final review to make sure the numbers make sense (ISA 520).
- Involve calculating ratios, computing trends, proving figures in total, and making comparisons.
- May disclose anomalies; these must be investigated.
- Used to corroborate answers to enquiries.
- Involves comparisons – an individual ratio, for example, is meaningless unless compared to (e.g.) previous years, another similar company, actual v budget etc.
- When making comparisons make sure calculations use comparable numbers (e.g. numbers with similar components from one year to the next).

The main ratios

Ratio	Calculation
Gross profit margin	Gross profit / Revenue x 100
Operating profit margin	Operating profit / Revenue x 100
Inventory holding period	Inventory / Cost of sales x 365
Receivables collection period	Receivables / Revenue x 365
Payables payment period	Payables / Cost of sales x 365
Current ratio	Current assets / Current liabilities
Quick / Acid Test ratio	Current assets – inventory / Current liabilities
Gearing	Debt / Debt + Equity OR Debt / Equity
Interest cover	Profit before financing and income taxes/interest expenses
Return of capital employed	Operating profit / Equity + non-current liabilities



Exam focus

For a question on audit risk you must ensure that your answer is based on the scenario facts and not just provide a standard answer.

You must give audit risks, not business risks.

Audit risk will either be risk of material misstatement or detection risks.

Exam kit questions in this area:

Section A – Objective test case questions:

- Veryan
- Flute
- Epica
- Hawk

Section B – Constructed response questions:

- Green
- Knight Electronics
- Lapis
- Magpie
- Esk
- Peach
- Corley Appliances
- Hart
- Scarlet
- Harlem
- Peony
- Darjeeling
- Blackberry
- Prancer
- Hurling
- Centipede
- Aquamarine
- Venus
- Sycamore

chapter

6

Planning

In this chapter

- Benefits of planning.
- Audit strategy and the plan.
- Interim v final audit.
- Fraud and error (ISA 240).
- Laws and regulations (ISA 250).
- Quality management (ISA 220).
- Documentation.

Benefits of planning

Adequate planning helps to ensure that:

- Attention is paid to the important areas of the audit
- Potential problems are identified and resolved on a timely basis
- The audit engagement is organised and managed in order to be performed in an efficient and effective manner
- Work is properly assigned to the individual team members
- Reduces risk of giving the wrong opinion.

Audit strategy and the plan

Planning involves establishing the overall audit strategy for the engagement and developing an audit plan.

Establish overall audit strategy

- Scope:
  - engagement characteristics
  - reporting objectives
  - significant engagement factors
  - preliminary activity results
  - the resources needed.
- Timing of when to deploy resources;
- Management, direction and supervision of resources (including meetings, debriefs, reviews etc).

Develop an audit plan

- Nature, timing and extent of the planned direction, supervision and review.
- Nature, timing and extent of risk assessment procedures.
- Nature, timing and extent of further audit procedures, including:
  - what audit procedures
  - who should do them
  - how much should be done
  - when the work should be done.
- Other necessary procedures.

Start to carry out audit procedures

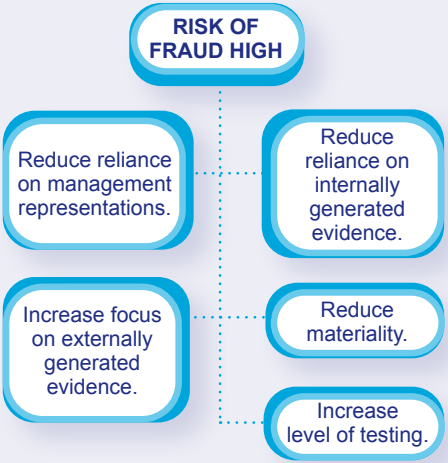
The audit strategy and audit plan should be updated and revised as necessary during the course of the audit.

Interim v final audit

	Interim audit	Final audit
Timing	• Performed **before** the year end • Early enough not to interfere with year-end procedures • Early enough to give adequate warning of specific problems • Late enough to ease the pressure on the final audit.	• Performed **after** the year end
Purpose	Allows the auditor to spread out their procedures. Useful when there is increased detection risk due to a tight reporting deadline.	To obtain sufficient appropriate evidence in respect of the financial statements. The auditor's report will be issued once the final audit complete.

	Interim audit	Final audit
Work performed	• Documenting systems • Evaluating controls • Assessing risks that will impact final audit • Attending perpetual inventory counts • Testing of: – transactions for the year to date – material transactions, e.g. purchase of new non-current assets	• Obtaining evidence that the controls tested at the interim audit have continued to operate during the period since the interim audit took place. • Testing of: – SOFP balances – SOPL transactions – Year-end journals. • Completion activities: – Going concern – Subsequent events reviews – Overall review of the financial statements – Communication of misstatements to client.

Fraud and error (ISA 240)



Definitions

Fraud: An intentional act involving the use of deception to obtain an unjust or illegal advantage.

Error: An unintentional mistake.

Professional scepticism: An attitude that includes a questioning mind, being alert to the risk of fraud, and a critical assessment of evidence.

Responsibilities

Directors

- Prevent and detect fraud and error by implementing effective internal controls

Auditors

- Obtain reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error.
- Maintain an attitude of professional scepticism throughout the audit

Fraud risk assessment procedures

- Engagement teams should discuss the risk of fraud.
- Consider the results of controls tests and analytical procedures.
- Enquire of client how they assess, and respond to, fraud risk.
- Enquire if client is aware of actual or suspected fraud.
- Consider incentives to commit fraud e.g. performance related bonuses.

Reporting of fraud

- To management
- To those charged with governance if auditor suspects management are involved in the fraud
- To third parties if there is a duty to report
- Modify the audit opinion if the fraud is material

Laws and regulations (ISA 250)

- Obtain an understanding of the legal and regulatory framework governing the client.
- Perform procedures to identify instances of non-compliance which may affect the FS, e.g. unrecorded fines and provisions.
- Obtain written representation from management that they have informed the auditor of all instances of non-compliance.
- If non-compliance is identified, report to management and those charged with governance.
- Consider whether non-compliance was deliberate and casts doubt over management integrity.

Quality management (ISA 220)

ISA 220 (Revised) *Quality Management for an Audit of Financial Statements*

The firm should have a quality management system to ensure:

- Compliance with professional standards, and
- Reports issued are appropriate in the circumstances.

The engagement partner takes overall responsibility for the overall quality of the engagement including the direction, supervision and performance of the engagement.

The engagement partner must ensure sufficient human, technological and intellectual resources are assigned to the audit.

An engagement quality reviewer must be assigned for listed entities and high risk engagements focusing on significant matters and areas involving significant judgement.

The firm must monitor the quality management system for deficiencies and remediate the deficiencies in response to the root cause. An annual evaluation of the system should be performed.

Quality management during the engagement comprises

Direction	Supervision	Review
Informing team members of responsibility to: • Contribute to the management and achievement of quality of the engagement • Exercise professional scepticism • Fulfil ethical requirements • Perform audit procedures and for more experienced team members to direct, supervise and review the work of less experienced team members • Understand the objectives of the work to be performed • Address threats to the achievement of quality.	• Tracking the progress of the audit to ensure the timetable can be met • Considering the competence of the team • Addressing significant matters arising and modifying the planned approach accordingly • Identifying matters for consultation.	Checking the audit work to ensure: • The work has been performed in accordance with professional standards • Appropriate consultations have taken place • The work performed supports the conclusions reached • The evidence obtained is sufficient and appropriate to support the auditor's report.

Documentation



Definition

Documentation means the material (working papers) prepared by, or for, or obtained and retained by, the auditor in connection with the performance of the audit. Such material may be in the form of paper or electronic media.

- The working papers must be sufficiently complete and detailed to provide an overall understanding of the audit.
- In particular, the working papers should record the auditor's reasoning on all significant matters which require the exercise of judgement, and the auditor's conclusions thereon.
- Working papers are usually split into two separate files:
  - permanent file – matters of continuing interest e.g. loan agreements, title deeds, systems documentation
  - current file – matters of this year's interest e.g. bank letter, results of audit tests.

Contents of working paper

- Reporting date
- File reference
- Name of preparer/date
- Name of reviewer/date
- Subject of working paper
- Objective
- Work performed
- Results and conclusions drawn

Benefits of documentation

- Provides evidence of the auditor's basis of conclusion.
- Provides evidence the audit was planned and performed in accordance with ISAs.
- Assists with direction, supervision and review of work.
- Enables the engagement team to be accountable for its work.
- Retains a record of matters of continuing significance for future audits.
- Enables engagement quality reviews and monitoring activities to be performed.

The basics

- Required:
  - as evidence of work done
  - as part of quality management, there is work to review.
- If it's not recorded it didn't take place (no evidence of the audit activity).
- If it cannot be understood, it might as well not have happened (working papers must be clear).
- Should enable an experienced auditor with no previous connection to the audit to understand the work done and conclusions reached.

Custody and retention

- Audit documentation belongs to the auditor.
- Must be kept secure (implications for safe custody of paperwork and also for work kept on computers and other electronic storage media).
- Audit documentation should be retained for 5 years from completion of the audit (ISA 230).

Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Veryan
- Spring & Co
- Swandive

Section B – Constructed response questions:

- Lapis
- Hart
- Harlem
- Blackberry
- Sycamore

chapter

7

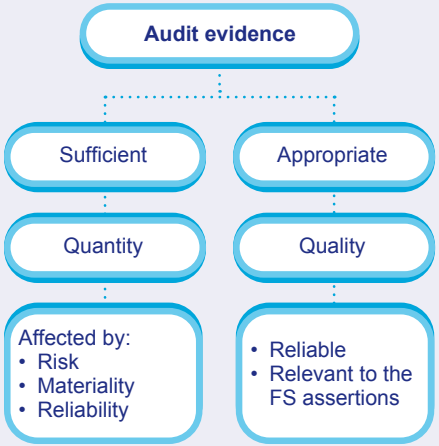
Evidence

In this chapter

- Type of audit evidence.
- Audit procedures.
- Assertions.
- Automated tools and techniques.
- Sampling.
- Relying on the work of others.

Type of audit evidence

The auditor should obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the audit opinion (ISA 500).



Less reliable	More reliable
Obtained from inside the entity	Obtained from independent sources outside the entity
Obtained indirectly or by inference	Obtained directly by the auditor
Oral representation	Exists in documentary form
Photocopy of a document	Original document

Substantive procedures: procedures designed to detect material misstatement at an assertion level. Can be tests of detail or analytical procedures.

Tests of controls: procedures to test the operating effectiveness of the internal control system at preventing, detecting or correcting material misstatements at an assertion level.

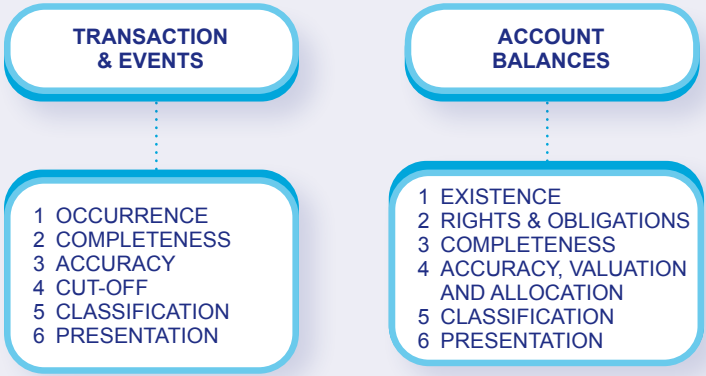
Audit procedures

Inspection of records or documents	May give direct evidence of the existence of an asset, ownership, that a control is operating, about cut-off.
Inspection of tangible assets	Conclusive evidence of existence, may give evidence of valuation.
Observation	Involves looking at a process or procedure: may provide evidence that a control is operating effectively.
Enquiry	Enquiry is a major source of audit evidence but the results of enquiries usually need to be corroborated.
Confirmation	Usually consist of obtaining confirmation regarding balances or representations made by management directly from an external third party.
Recalculation	Checking the arithmetical accuracy of the client's calculations.
Reperformance	Includes re-performing management or accounting procedures, such as year-end reconciliations.
Analytical procedures	Comparisons of sets of data to identify unusual relationships or variances that could indicate fraud or error. Results of analytical reviews need to be corroborated by other forms of test.

Assertions

Management is responsible for the preparation of financial statements which give a true and fair view.

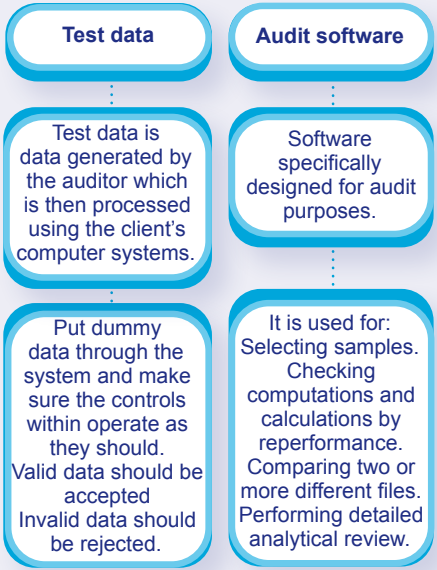
For each item in the financial statements, management are making assertions.



Analytical procedures as substantive procedures

- The suitability of this approach depends on:
  - the assertions being tested (may be good for valuation, bad for existence)
  - the reliability of the data (unsuitable if controls are weak as numbers could be wrong)
  - the degree of precision possible (more suited to regular transactions than one off items)
  - the amount of variation which is acceptable (some numbers in financials require greater accuracy than others).

Automated tools and techniques



Considerations affecting use

- Computer knowledge of the audit team.
- Cost/benefit analysis.
- Time available (can take a long time to set up).

Sampling

Audit sampling involves the application of audit procedures to less than 100% of the items within a class of transactions or account balance such that each has a chance of selection.

Audit sampling is usually preferable to testing all items, because:

- it would be prohibitively expensive and time-consuming to test every single item
- users of the financial statements are looking for reasonable assurance, not 100% accuracy
- full substantive testing of the accounting records will not verify that all transactions are recorded (i.e. it does not prove completeness).

However audit sampling is not appropriate if:

- population is small
- all transactions in a particular area are of great monetary significance
- population is non-homogeneous.

Designing the sample

The auditor must choose between statistical and non-statistical sampling. Statistical sampling involves random selection of a sample and then the use of probability theory to evaluate the sample results. Any other sampling approach is non-statistical sampling.

Selecting the sample

- Statistical sampling requires random selection, e.g. using random number tables or a computer program to generate random numbers.
- Non-statistical sampling requires the auditor to use judgement to select the sample items to be representative of the population.

Evaluating the sample results

The auditor carries out audit procedures on each item selected and documents the results. Errors identified in the sample are then projected across the population as a whole.

Sampling Methods:

- Random
- Haphazard
- Monetary Unit Sampling
- Systematic
- Block

Relying on the work of others

Use of auditor's experts (ISA 620)

- Auditors cannot delegate responsibility to experts.
- Examples include: surveyors, valuers, expert inventory counters, actuaries etc.
- The auditor is still responsible for obtaining sufficient and appropriate audit evidence.
- Experts must be independent, objective, competent and experienced.

Before work is performed by expert.

- Agree nature, scope and objectives.
- Agree roles and responsibilities.
- Agree nature, timing and extent of communication.
- Agree the need for the expert to observe confidentiality.

Evaluating the work of an expert

- Relevance and reasonableness of findings.
- Relevance and reasonableness of assumptions.
- Relevance, completeness and accuracy of source data.

Using the work of internal audit (ISA 610)

The external auditor may wish to rely on the work of internal audit in order to reduce the amount of detailed testing that they (the external auditor) must perform.

Assessing the internal audit function

Before any reliance is made, assess the internal audit function in terms of:

- Organisational status
- Scope of function
- Technical competence
- Due professional care.

Assessing the internal audit work

When the external auditor intends to use specific work of internal audit, they should perform audit procedures on that work to confirm its adequacy for auditing purposes.

- Sufficient appropriate evidence obtained.
- Conclusion are valid.
- Work has been properly supervised and reviewed.

Using internal audit to provide direct assistance

- Internal audit function can provide direct assistance to the external auditor under their supervision and review.
- Cannot be provided where laws and regulations prohibit such assistance.
- The competence and objectivity of the internal auditor must be considered.
- Must not do work which involves significant judgement, a high risk of material misstatement or with which the internal auditor has been involved.
- Planned work must be communicated with those charged with governance.
- Cannot make excessive use of internal auditor.
- Management must not intervene in that work.

- Internal auditors must keep the external auditor's information confidential.
- External auditor will provide direction, supervision and review of the internal auditor's work.
- External auditor should remain alert to the risk that the internal auditor is not objective or competent.

Service organisations

ISA 402 *Audit Considerations Relating to an Entity Using a Service Organisation*.

- Obtain an understanding of the service organisation (nature of services provided and relationship with the client, materiality of transactions) to assess the risk of material misstatement. This can be obtained through:
  - Inquiries with client
  - Confirmations from the service organisation and their auditors
  - Visits to the service organisation
  - Type 1 or Type 2 report from service organisation auditors.
- If controls are expected to operate effectively:
  - Obtain a Type 2 report
  - Perform tests of controls at the service organisation
  - Use another auditor to perform tests of controls.
- Reporting
  - Modify the auditor's opinion if sufficient appropriate evidence has not been obtained.
  - The use of the service organisation or their auditor is not mentioned in the report.



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Primrose
- Hemsworth
- Spring
- Poppy
- Delphic
- Walker
- Bamboo
- Shroom
- Minnie

Section B – Constructed response questions:

- Aquamarine
- Bronze
- Lily Window Glass
- Andromeda
- Hawthorn
- Pineapple Beach Hotel

chapter

8

Systems and controls

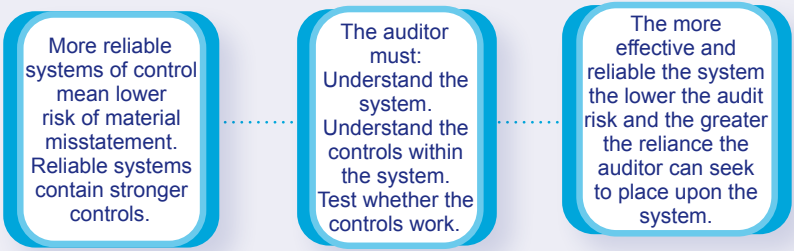
In this chapter

- Internal control systems.
- The auditor and controls.
- Sales system.
- Purchase system.
- Payroll system.
- Cash system.
- Inventory system.
- Communications on internal controls.

Internal control systems

Definition

Internal control is the process designed and effected by the directors and others to enable the achievement of the entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, and compliance with applicable laws and regulations.



More reliable system = Lower audit risk = Less substantive testing

Internal control consists of the following 5 components (ISA 315):

1 **Control environment**
- This includes the attitude and philosophy of management with regard to control e.g. a commitment to integrity and ethical values, a formal organisation structure and proper training of staff.

2 **Entity's risk assessment process**
- A more robust risk assessment process will reduce the risk of misstatement.

3 **Information system and communication**
- The auditor should obtain an understanding of the information system, including the related business processes, relevant to financial reporting.

4 **Control activities**
- Authorisation
- Reconciliation
- Verification
- Physical or logical controls
- Segregation of duties

5 **Monitoring of controls**
- Management must monitor controls to be sure that they are operating and are effective.

The 5 components can be remembered with the mnemonic **CRIME** (control activities, risk assessment process, information system, monitoring, environment)

IT Controls

General controls	Information processing controls
• Password protection • Back-ups • Disaster recovery • Virus checks • Restricted access • Network controls	• Batch totals • Sequence checks • Range checks • Existence checks • Authorisation • Exception reporting

The auditor and controls

- The auditor can alter the mix of tests between substantive test and tests of controls to build up the required level of assurance.
- Some substantive procedures must be carried out on all material balances.
- Remember that with tests of controls, the auditor is interested in whether controls are operating effectively – the values of the transactions are irrelevant.
- With a substantive test, the auditor is trying to gain assurance directly about a figure in the financial statements.

- The auditor needs to:

ASCERTAIN THE SYSTEM

Possible methods:
- Examine previous audit work
- Client's own documentation of the system
- Interview client staff
- Trace a transaction through the system (walkthrough test)
- Observe procedures.

DOCUMENT THE SYSTEM

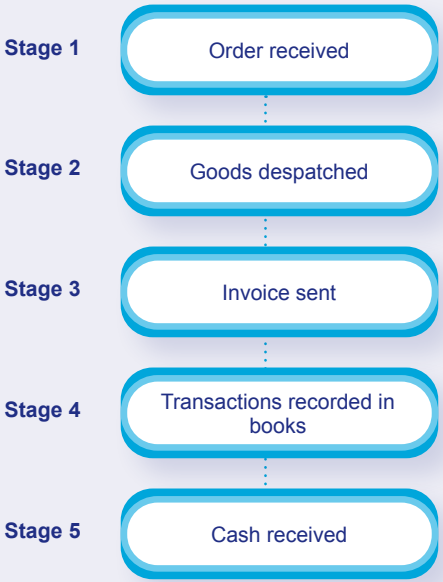
Possible methods:
- Narrative notes
- Organisation chart
- Complete an Internal Control Questionnaire (ICQ or ICE)
- Flowcharts.

EVALUATE THE SYSTEM

- ICQ v ICE

ICQ
- List of possible controls
- Ask client whether the controls are in place
- Yes / No answer.

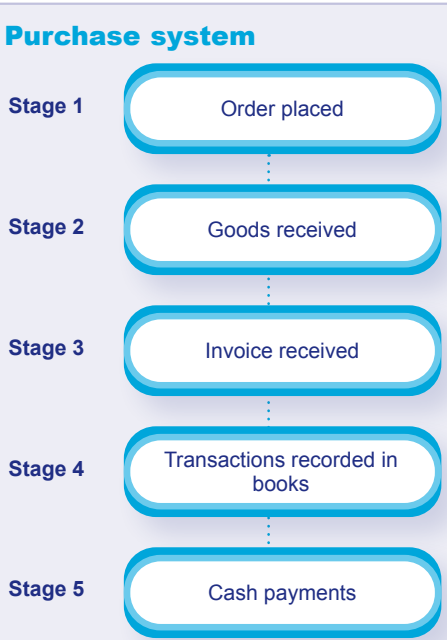
ICE
- List of control objectives
- Ask client what controls they have in place to achieve the objective.



Sales system

The objectives of controls in the sales system are to ensure that:

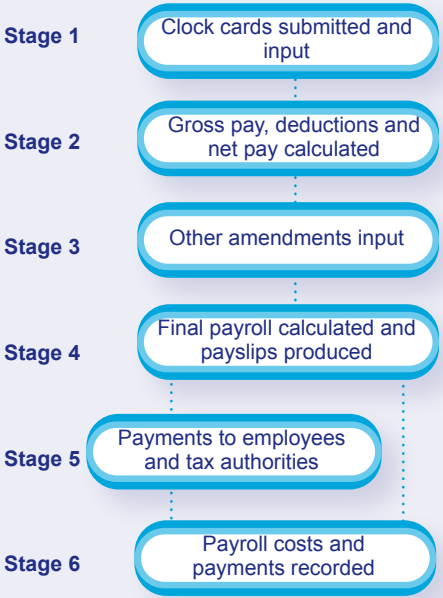
- Goods are only supplied to customers who pay promptly and in full
- Orders are despatched promptly and in full to the correct customer
- Only valid sales are recorded
- All sales and related receivables are recorded
- Revenue is recorded in the period to which it relates
- Sales are recorded accurately and related receivables are recorded at an appropriate value.



Purchase system

The objectives of controls in the purchase system are to ensure that:

- All purchases are of the appropriate quality and price
- Only necessary goods/services are procured
- All purchases and related payables are recorded
- Expenditure is recorded in the period to which it relates
- Expenditure is recorded accurately and related payables are recorded at an appropriate value.

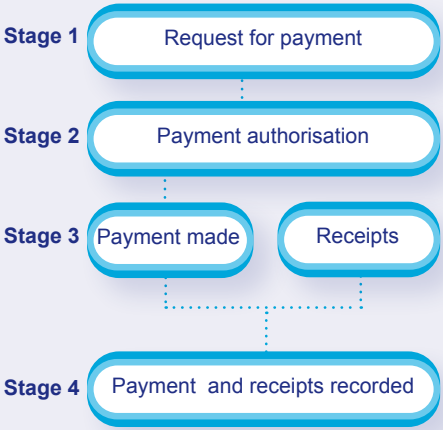


Payroll system

The objectives of controls in the payroll system are to ensure that:

- Only genuine employees are paid
- Employees are only paid for work done
- Employees are paid at the correct rates of pay
- Gross pay is calculated and recorded accurately
- Net pay is calculated and recorded accurately
- Correct amounts owed are recorded and paid to the taxation authorities.

Cash system

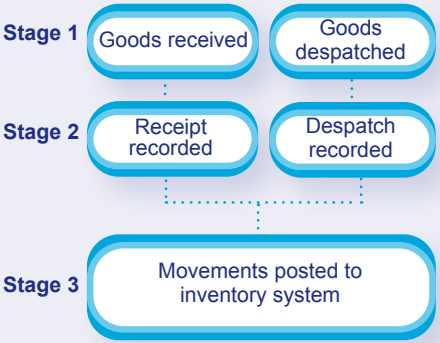


Cash cycle

The objectives of controls in the cash cycle are to ensure that:

- Petty cash levels are kept to a minimum, preventing theft
- Payments can only be made for legitimate business expenditure
- Cash and chequebooks are safeguarded
- Receipts are banked on a timely basis
- Cash movements are recorded on a timely basis.

Inventory system



Inventory system

The objectives of controls in the inventory system are to ensure that:

- Inventory levels meet the needs of production (raw materials and components) and customer demand (finished goods)
- Inventory levels are not excessive, preventing obsolescence and unnecessary storage costs
- Inventory is safeguarded from theft, loss or damage
- Inventory movements are recorded on a timely basis
- All inventory is recorded
- Inventory is valued at lower of cost and NRV.

Communications on internal controls

The external auditor is not responsible for implementing or maintaining internal controls but needs to:

- Assess the effectiveness of internal controls.
- Communicate control deficiencies identified with management.
- Communicate significant control deficiencies identified with those charged with governance.

Communications will be by management letter or report, which is usually in two parts.

Covering letter
States that:
Only covers deficiencies identified during audit work.
For sole used of the company.
No disclosure to third parties without agreement.
No responsibility assumed to any other parties.

Appendix
Lists (often in tabular form):
Deficiencies.
Consequences.
Recommendations.
Space for management's response.



Exam focus

Questions usually focus on the content of the appendix for a given scenario rather than a covering letter.



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Coastal
- Halestorm
- Primrose
- Shroom

Section B – Constructed response questions:

- Francisco
- Silver Co
- Petra
- Daley
- Whittaker
- Pomeranian
- Castle Courier
- Swift
- Snowdon
- Amberjack
- Freesia
- Camomile
- Raspberry
- Comet Publishing
- Equestrian
- Bronze
- Trombone
- Lily Window Glass

chapter

9

Internal audit

In this chapter

- Internal audit.
- Comparison of internal and external audit.
- Outsourcing the internal audit function.
- Producing an internal audit report.

Internal audit

Definition of internal audit: an independent, objective assurance and consulting activity designed to add value and improve an organisation's operations.

The need for internal audit depends on:

- Scale, diversity and complexity of activities
- Number of employees
- Cost/benefit considerations
- The desire of senior management to have assurance and advice on risk and control.

What do internal auditors do?



Comparison of internal and external audit

	Internal audit	External audit
Status	Employees or outsourced function	Independent
Appointed by	Audit committee	Shareholders
Reports to	Audit committee	Shareholders
Reports on	Controls, VFM, IT	True and fair view of FS
Standards	Internal audit standards	ISAs, Code of Ethics

To be effective the internal audit department must be:

- Sufficiently resourced
- Well organised
- Independent and objective.

Limitations of the internal audit function

The main limitations of internal audit are:

- Independence (or lack of)
- Variation of standards

Outsourcing the internal audit function

Outsourcing means using an external service provider to perform the role, rather than sourcing and managing the role 'in house'.

Advantages

- Emphasis on cost and efficiency of the function.
- Access to specialist skills.
- Staffing risks and costs passed to provider.
- May improve objectivity of function.
- Access to new audit technologies.
- Reduced management time.

Disadvantages

- Threat to objectivity if provided by external auditor.
- Potential lack of knowledge of the organisation's objectives, culture or business.
- Cost focus may reduce the effectiveness of the function.
- Service provider may not be as flexible as an in-house function.
- Lack of control over standard of service.

Internal audit assignments

The general approach

- Identify key risk areas.
- Are there any procedures to mitigate the risk?
- Are the procedures being followed?
- Are the procedures effective?
- Report and recommend.

Value for money audits

3 Es

- Economy – least cost.
- Efficiency – best use of resources.
- Effectiveness – best results.

Audit of information technology

- Do the systems provide a reliable basis for the preparation of financial statements?
- Do internal controls reduce the risk of misstatement?
- Does the system represent value for money/best value?
- Are the controls over awarding contracts for IT installations effective?

Financial internal audit

- Do the records and evidence support financial and management reporting?
- Are there errors and/or fraud?
- Does the analysis of information identify trends and potentially significant variations from the norm?

Producing an internal audit report

- Similar to report to management.
- Describe deficiencies.
- Explain the consequences to the organistion.
- Provide a recommendation for improvement.



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Sistar
- Primrose
- Shroom
- Kamari Co

Section B – Constructed response questions:

- Bronze
- Raspberry
- Equestrian

chapter

10

Procedures

In this chapter

- Receivables.
- Inventory.
- Liabilities.
- Bank and cash.
- Tangible non-current assets.
- Intangible assets – development costs.
- Directors' remuneration.
- Share capital and dividends.
- Accounting estimates.
- Statement of profit or loss.
- Smaller entities.
- Not-for-profit organisations.

Receivables

Trade receivables procedures:

- Obtain aged receivables listing, cast and agree to FS.
- Request direct confirmation from customers to confirm existence and rights.
- Inspect GDNs and invoices included in the listing to confirm amounts.
- Inspect cash received post year end to confirm valuation.
- Calculate receivables days and compare with credit terms.
- Enquire with management about any long overdue debts.
- Inspect correspondence with customers for disputes.
- Recalculate the allowance for irrecoverable debts and compare with level of old debts to assess adequacy.

Prepayments procedures:

- Inspect invoices to confirm expenditure relates to subsequent period.
- Recalculate the prepayment to verify accuracy.
- Inspect bank statement to confirm it was paid before year end.

Inventory

- Can be raw materials, work-in-progress and finished goods.
- Main test areas:
  - existence / completeness – attend inventory count
  - valuation.

Attendance at the inventory count

Where inventory is material the auditor should attend the inventory count unless impracticable.

Before the count

- Review the previous year's working papers for issues.
- Review the client's instructions issued to the counters for adequacy.
- Identify any problem areas and discuss them with the client.

During the count

- Observe the conduct of the count to ensure instructions being carried out properly.
- Make limited test counts to check the accuracy of the count.
- Make notes of any damaged or possibly obsolete inventory.
- Record document numbers for subsequent test of cut-off – see below.
- Reach a conclusion as to whether the count was carried out satisfactorily.
- Trace goods in the warehouse to the count sheets for completeness.
- Trace goods on the count sheets to the warehouse for existence.
- Enquire if any third-party inventory is held and ensure this has been removed from the warehouse and is not included in the count.

After the count

- Inspect the inventory listing to ensure damaged/obsolete items have been written down to NRV.
- Inspect the inventory listing for the items on the last GRNs and GDNs obtained to ensure cut-off is correctly applied.
- Trace items on the count sheets obtained during the count into the inventory listing to ensure the quantities have not been changed.
- Calculate inventory days ratio and compare with prior year to identify any slow-moving items requiring write down.
- Inspect the aged inventory listing for old items and discuss the need for write down with management.
- Inspect purchase invoice to verify cost.
- Inspect post-year-end sales invoices to verify NRV.
- Discuss with management how the percentage of completion of WIP has been determined.
- Review calculations of overheads included in WIP and ensure only production related overheads are included.

Inventory stored at a third party site

- Visit third-party site to verify existence of the inventory if material.
- Obtain external confirmation from the third party of the quantity and condition of the goods.
- Obtain a report from the third party's auditors confirming the reliability of the internal controls at the third party.

Standard costs

- Obtain breakdown of the standard cost calculation and agree a sample of costs to invoices.
- Enquire of management the basis for the standard costs and how often they are updated.

- Inspect the variance account and assess the level of variance for reasonableness. Discuss with management any significant variances arising.



Exam focus

You must be clear about the two separate tasks facing the auditor:

- Does the inventory exist? Attend the inventory count to find out.
- Is the inventory correctly valued?

The two tasks are inter-related, i.e. the auditor can identify damaged or dusty (slow-moving) inventory at the count, and then confirm that these inventory lines have been written down to NRV in the valuation exercise.

Liabilities

Trade payables procedures

- Obtain aged payables listing, cast and agree to FS.
- Inspect purchase invoices and GRNs included on the listing to confirm accuracy of recording.
- Obtain/perform supplier statement reconciliations to identify discrepancies.
- Obtain direct confirmation of balances from suppliers where supplier statements are not available.
- Inspect post year end bank statements for payments made which may indicate unrecorded liabilities.
- Calculate payables days ratio and compare with credit terms given to identify unusual differences and discuss with management.
- Inspect GRNs for before the year end to ensure completeness.

Accruals procedures

- Obtain the list of accruals, cast and agree to FS.
- Compare the accruals list with prior year to identify any missing accruals and discuss with management.
- Agree income tax accrual to tax computation.
- Agree payroll tax accrual to payroll records.
- Inspect post-year-end bank statements for payments of accruals to confirm the amount is reasonable.
- Inspect invoices received post year end to confirm amount of the accrual.

Loans and overdraft procedures

- Agree balances outstanding to bank confirmation letter and/or loan statement.
- Inspect the loan agreement for terms and conditions such as restrictive covenants.
- Recalculate the split of current and non-current liabilities and agree to FS.
- Review FS disclosure for compliance with the relevant accounting standard.
- Recalculate any interest accrual to verify accuracy.
- Inspect bank statements for loan and interest payments.

Provisions and contingencies

Procedures

- Enquire with management the basis of the provision to assess reasonableness.
- Recalculate the provision to confirm arithmetical accuracy.
- Obtain written representation from management as to the adequacy and completeness of the provision.
- For a legal provision obtain confirmation from lawyers regarding amount and probability.
- Inspect board minutes to confirm an obligation exists at year end.
- Review subsequent events for further evidence.

Bank and cash

Procedures

- Obtain listing of bank and cash balances, cast and agree to FS.
- Obtain a bank confirmation letter for all bank accounts held.
- Obtain bank reconciliations for all bank accounts and cast to confirm accuracy.
- Agree the balance per the bank ledger account to the general ledger.
- Agree the balance per the bank statement to the bank letter.
- Agree unpresented cheques to the post-year-end bank statements to confirm they have cleared in a reasonable time.
- Agree outstanding lodgements to the pre-year-end paying-in book and post-year-end bank statements.
- Perform a cash count for any material cash balances or where fraud may be suspected.

- Inspect the bank letter for any other details requiring disclosure such as security over assets.

Tangible non-current assets

Main procedures

- Select a sample of assets from the asset register and physically inspect them (existence).
- Select a sample of assets visible at the client premises and inspect the asset register to ensure they are included (completeness).
- Reperform depreciation calculations or perform a predictive analytical review calculation on depreciation figures.
- Note the condition of assets when inspecting them and relate to valuation.
- Review any valuers' reports to confirm valuation.
- Inspect title deeds, registration documents for the client's name.

Intangible assets – development costs

- Obtain a breakdown of capitalised costs, cast for mathematical accuracy and agree to the financial statements.
- For a sample of costs on the breakdown, agree to invoices or timesheets.
- Inspect board minutes for any discussions relating to the intended sale or use of the asset once development is complete.
- Inspect cash flow forecasts to confirm the company intends, and has the money, to complete the development.
- Review test results/trials to assess technical feasibility
- Recalculate the amortisation charge to verify arithmetical accuracy.
- Review board minutes/press reports/ management accounts for evidence the development is no longer expected to be profitable or be completed and discuss the need for write-off with management.

- Review the financial statement disclosure for compliance with IAS 38.

Directors' remuneration

- Obtain and cast a schedule of director's remuneration split between wages, bonuses, benefits, pension contributions and other remuneration, and agree to the financial statement disclosures.
- Inspect payroll records and agree the figures disclosed for wages, bonuses, and pension contributions.
- Inspect bank statements to verify the amounts actually paid to directors.
- Inspect board minutes for discussion and approval of directors' bonus announcements or other additional remuneration.
- Obtain a written representation from directors that they have disclosed director's remuneration to the auditor.

Share capital and dividends

- Agree authorised share capital and face value disclosures to underlying shareholding agreements/statutory constitution documents.
- Inspect bank ledger account and bank statements for evidence of cash receipts from shares issued and ensure amounts not yet received are correctly disclosed as share capital called-up not paid in the financial statements.
- Inspect board minutes to verify the amount of shares issued during the year.
- Inspect board minutes to confirm dividends declared before the year end.
- Inspect bank statements to confirm dividends paid before the year end.

Accounting estimates

An accounting estimate is an approximation of the amount of an item in the absence of a precise means of measurement.

Examples of accounting estimates.

- Depreciation charges (since the useful life and residual value of a fixed asset are only estimates).
- Provision for a loss from a court case.
- Provision to meet warranty claims.

In accordance with ISA 540 use one or a combination of the following approaches.

- Review and test the process used by management to develop the estimate.
- Use an independent estimate and compare this with management's estimate.
- Review subsequent events which provide evidence about the estimate.

Statement of profit or loss

Revenue

- Compare revenue to prior year, investigate significant differences.
- Compare revenue against budget, investigate significant differences.
- Calculate GPM and compare to prior year.
- Inspect GDNs before and after year end to confirm cut-off.
- Inspect sales invoices to confirm accuracy.
- Trace GDNs into sales listing to confirm completeness.

Purchases

- Compare purchases to prior year, investigate significant differences.
- Compare purchases against budget, investigate significant differences.

- Calculate GPM and compare to prior year.
- Inspect GRNs before and after year end to confirm cut-off.
- Inspect purchase invoices to confirm accuracy.
- Trace GRNs into purchase listing to confirm completeness.

Payroll

- Compare payroll to prior year, investigate significant differences.
- Compare payroll against budget, investigate significant differences.
- Agree a sample of amounts from the payroll listing to payslips to confirm accuracy.
- Recalculate a sample of employee's pay to confirm accuracy.
- Agree a sample of names from employee contracts into payroll listing to confirm completeness.



Exam focus

This chapter includes many examples of typical procedures. When answering questions don't note down everything you can think of. Auditing requires professional judgement so always consider when answering a question:

- risks involved
- the nature of the items being tested
- assertions being tested.

Every exam contains questions requiring audit procedures.

Smaller entities

Clients that are small businesses exhibit several characteristics. They are usually:

- lower risk assignments
- under the direct control of owner managers (who know what is going on)
- have simpler systems.

But there are potential problems with:

- possibility of management override
- lack of segregation of duties.

There should be no change in the application of risk based auditing (assuming that they require, under current legislation, an audit).

Not-for-profit organisations

- Small not for profit organisations have many of the attributes of other small entities mentioned earlier.
- But such organisations tend to be staffed by volunteers.
- Their culture is more likely to be one of trust rather than accountability.
- Therefore documentation and controls may be less formal.

Audit approach

In principle, the approach should be exactly as studied so far, in accordance with auditing standards. The same ideas of audit planning, risk assessment, testing of controls, etc can be applied.

Income can be a serious problem for the auditor, since it is usually accounted for on a cash basis, with little accompanying documentation. Detailed analytical procedures and written representations from managers can assist, but the auditor may struggle to gain sufficient audit evidence of the completeness of income.

Expenditure. The NFP is likely to have certain stated aims, so expenditure must be consistent with these aims.



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Chester
- Walker
- Poppy
- Eagle Heating
- Hawk
- Swandive
- Delphic
- Bamboo
- Hightown
- Lancaster Co

Section B – Constructed response questions:

- Cookit
- Latte Co
- Esk
- Petra

- Daley
- Heron
- Pacific
- Spinach
- Danube
- Castle Courier
- Purrfect & Co
- Scarlet
- Sagittarii & Co
- Encore
- Spadefish
- Hyacinth
- Jasmine
- Gooseberry
- Dashing
- Airsoft

- Insects4U
- Elounda
- Andromeda
- Hawthorn
- Pineapple Beach Hotel

chapter

11

Completion and review

In this chapter

- Review of audit work.
- Evaluation of misstatements.
- Subsequent events.
- Going concern.
- Written representations.


Overall review
Subsequent events
Going concern
Completion and review
Evaluation of misstatements
Written representations


Do the FS comply with local legislation and accounting standards?
Are the FS consistent with our knowledge of the business?
Is the quality of the audit work up to standard?
Final review
Have appropriate accounting policies been followed?
Do the financial statements give a true and fair view?
Have the firm's procedures been followed?

Review of audit work

The reviewer should ask:

- Has the work has been performed in accordance with professional standards and regulatory and legal requirements?
- What significant matters have been raised for further consideration?
- Have appropriate consultations taken place and the resulting conclusions been documented and implemented?
- Is there a need to revise the nature, timing and extent of the work performed?
- Does the work performed support the conclusions reached?
- Is the work appropriately documented?
- Is the evidence obtained sufficient and appropriate to support the auditor's report?
- Have the objectives of the engagement procedures have been achieved?

Evaluation of misstatements (ISA 450)

- All identified errors should be recorded on a working paper set up for the purpose.
- Individually immaterial errors may, in aggregate, amount to a material difference.
- Management should be requested to adjust all identified misstatements.
- All uncorrected misstatements should be communicated to those charged with governance and a description of the implications for the auditor's report, if appropriate.
- If any material misstatements remain unadjusted the auditor will modify the audit opinion.

Subsequent events (ISA 560)

Definition

Subsequent events are events occurring and facts discovered between the period end and the date the financial statements are authorised for issue.

Adjusting events	Non-adjusting events
Provide additional evidence about conditions existing at the statement of financial position date.	Provide evidence about conditions arising after the statement of financial position date.
Require adjustment	Require disclosure if material
• Trade receivables become irrecoverable debts • Inventory held at year end is sold for less than cost after year end • Estimate for a provision is revised	• Fire destroys inventory after the year end • Injury resulting in legal action occurs after year end • Takeover
IAS® 10 *Events After the Reporting Period*	

- Up to the date of the auditor's report, the auditor must watch out for subsequent events that might require adjustment or disclosure in the financial statements.
- The auditor is under no obligation to perform audit procedures after the auditor's report has been issued, however, if they become aware of a fact which would cause them to issue a modified opinion, they must discuss the matter with management and consider whether the financial statements require amendment.
- Procedures involve:
  - enquiry and discussion
  - review of minutes
  - review of budgets, management accounts, other financial data
  - written representation
  - normal procedures (looking at after-date cash receipts, payments, cut-off etc.).

Going concern (ISA 570)

The going concern concept

Definition

A company is assumed to be a going concern if it is likely to continue trading for the foreseeable future.

- When preparing financial statements, the directors should assess whether there are significant doubts about an entity's ability to continue as a going concern.
- The auditor's responsibility is to consider the appropriateness of management's use of the going concern assumption, and whether there are adequate disclosures regarding uncertainties about the entity's ability to continue as a going concern.

Typical indicators of going concern problems

- Net current liabilities.
- Necessary borrowing facilities not agreed.
- Significant liquidity or cash flow problems.
- Substantial operating losses.
- Inability to pay debts (e.g. tax payments) as they fall due.
- Loss of key management or staff.
- Loss of key suppliers or customers.

Typical audit procedures

- Review cash flow forecasts and post-year-end management accounts to analyse trends in performance.
- Review correspondence with major customers for evidence of disputes.
- Inspect correspondence from the bank to assess the likelihood of obtaining further finance.
- Inspect correspondence from lawyers regarding outcome of legal cases which could impact going concern.
- Inspect board minutes for management's plans to address going concern issues.
- Obtain written representation from management that they believe the company is a going concern.

Written representations (ISA 580)



Definition

A **Written representation** is a written statement by management provided to the auditor to confirm certain matters or to support other audit evidence.

- The auditor must consider whether the written representation letter is consistent with other forms of evidence obtained.
- The auditor must consider whether there are any concerns over the competence, integrity or ethical values of management which could affect the reliability of the written representation.
- If there are concerns over competence, integrity or ethical values the auditor should consider withdrawing from the audit.
- If the auditor cannot withdraw, a disclaimer of opinion should be given.
- Similar considerations will apply if management refuse to provide a written representation letter.

Examples of matters included in a written representation

General matters	Specific matters	Matters required by ISAs
Confirmation from management that they have fulfilled their responsibilities in relation to: • Preparing the financial statements in accordance with an applicable financial reporting framework • Providing the auditor with all relevant information and access to records • Recording all transactions and reflecting them in the financial statements	• That management believe the assumptions used for areas of judgement are reasonable • That provisions and liabilities are complete • That a particular product line is going to continue • Plans or intentions that may affect asset values	• All known and suspected frauds have been communicated to the auditor (ISA 240) • All instances of non-compliance with laws and regulations have been communicated to the auditor (ISA 250) • Management believe the effects of uncorrected misstatements are immaterial (ISA 450) • All subsequent events have been communicated to the auditor (ISA 560) • All going concern issues have been communicated to the auditor (ISA 570)



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Viola Co
- Spring & Co
- Elm & Co
- Blenkin & Co
- Mississippi
- Pacific
- MMT
- Bond & Co
- Humphries
- Greenfields
- Minnie

Section B – Constructed response questions:

- Heron
- Pacific
- Sagittarii
- Encore
- Spadefish
- Hyacinth
- Jasmine
- Gooseberry
- Dashing
- Elounda
- Andromeda
- Pineapple Beach Hotel
- Violet & Co

chapter

12

Reporting

In this chapter

- The auditor's report.
- Elements of an auditor's report.
- Types of opinion.
- Additional communications.
- Key audit matters.
- Other information.

The auditor's report

- The auditor's report is the output of the audit.
- It contains the auditor's opinion as to whether the financial statements give a true and fair view.

Elements of an auditor's report

- Title
- Addressee
- Auditor's opinion
- Basis for opinion
- Key audit matters (if listed)
- Other information
- Responsibilities of management
- Auditor responsibilities
- Other reporting responsibilities
- Name of the engagement partner
- Signature
- Auditor's address
- Date

Types of Opinion

Nature of issue	Not material	Material but Not Pervasive	Material & Pervasive
Misstatement	Unmodified opinion True and fair view Basis for opinion	Qualified Opinion Except for ... Basis for qualified opinion	Adverse Opinion FS do not give a true and fair view Basis for adverse opinion
Inability to obtain sufficient appropriate audit evidence	Unmodified opinion True and fair view Basis for opinion	Qualified Opinion Except for ... Basis for qualified opinion	Disclaimer of Opinion Do not express an opinion Basis for disclaimer of opinion

Material but not pervasive – misstatements do not represent a substantial proportion of the FS

Material and pervasive – misstatements represent a substantial proportion of the FS making them unreliable as a whole

Additional communications

Material uncertainty relating to going concern

Included where the directors have made adequate disclosure of material uncertainties relating to going concern to draw the user's attention to the disclosure.

Emphasis of matter

Included to draw the user's attention to a note disclosed in the financial statements (usually in relation to fundamental uncertainties/contingencies).

Other matters

Included to draw the user's attention to other matters not related to the financial statements. e.g. further information about the auditor's responsibilities.

Key audit matters

Key audit matters are those that in the auditor's professional judgement were of most significance in the audit and are selected from matters communicated to those charged with governance.

Examples:

- Significant risks of material misstatement
- Significant areas of judgement
- Significant events or transactions

Other information

Other information is defined as financial and non-financial information included in a document containing audited financial statements and the auditor's report. Examples include a Chair's Statement and Directors' Report.

The auditor must read this information to identify any inconsistencies between the information and the financial statements or their knowledge of the client.

If the other information is received before the date of the auditor's report, a separate section should be included in the audit report under the heading 'Other Information'. In this section the auditor should:

- Identify the other information obtained prior to the date of the auditor's report.
- State that the auditor has not audited the other information and accordingly does not express an opinion or conclusion on that information.
- Include a description of the auditor's responsibilities with respect to other information.
- State either that the auditor has nothing to report, or a description of the material misstatement.



Exam focus

Exam kit questions in this area:

Section A – Objective test case questions:

- Viola Co
- Spring & Co
- Elm & Co
- Blenkin & Co
- Mississippi
- Pacific
- MMT
- Bond & Co
- Humphries
- Greenfields
- Minnie
- Signal Co

Section B – Constructed response questions:

- Cookit
- Latte Co
- Pacific
- Spinach
- Danube
- Purrfect & Co
- Sagittarii & Co
- Encore
- Jasmine
- Gooseberry
- Dashing
- Airsoft
- Insects4U
- Pineapple Beach Hotel
- Andromeda
- Violet & Co

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